

October/November 2020 13

1-C:

An economic problem generally means the problem of making choices that occurs because of the scarcity of resources. It arises because people have unlimited desires but the means to satisfy that desire is limited. Therefore, satisfying all human needs is difficult with limited means.

Therefore, the consumers have limited income and to satisfy those all needs with limited income is impossible.

2-B:

An entrepreneur, a factor of production, earns income in the form of profits by taking out the risk.

3-B:

The Production Possibilities Curve (PPC) is a model used to show the tradeoffs associated with allocating resources between the production of two goods.

From the given PPC diagram, at point X the 70 units of capital goods and 180 units of consumer goods are being produced. To produce the consumer goods only, the 70 units of capital goods should be forgone so that it has a zero production of capital goods and increase the production of consumer goods from point X to 240 units.

4-D:

Statement 1: fall in price of oil lead to expansion in demand that clearly indicates that it is micro statement as it is showing impact between the price and the quantity demanded not the prices of overall an economy

Statement 2 : OPEC can influence the price of oil that clearly indicates that price of oil is changing that indicates that it is micro statements

5-C:

An economic system based on supply and demand with little or no government control known as free market economy.

The disadvantage of this economy is that such economies lead to formation of monopolies that reduce the supply of firms in a market. As a result, the producer's dominance leads to higher prices that have to be borne by the consumers.

Why not other options?

A- entrepreneur produces what really consumers wants

B- there is no government intervention in this economy

D- there is over production of demerit goods

6-A:

The diagram shows the changes in prices and quantity demanded, while other factors being constant such as price of substitutes, taste and preferences, advertising etc.

Coffee became cheaper that means prices have fallen and thus the quantity demanded increases from Q1 to Q2.

Why not other options?

Other factors that will lead to shift the demand curve.

7-D:

PED for salt is highly inelastic that means if prices increase by a greater percentage than the quantity demanded would only contract by the smaller percentage. This is because of the availability of no close substitutes and necessity of a product.

This condition can only be seen in option D.

Why not other options?

A- downward sloping

B- highly elastic, if price rises then, quantity demanded would contract by the greater percentage

C- it is perfectly elastic and if prices rises then TR would fall to zero

8-C:

Excess demand for labor, also known as a labor shortage, occurs when the quantity of labor demanded by employers exceeds the quantity of labor supplied at the prevailing wage rate.

This situation often leads to increased competition among employers to attract workers, resulting in upward pressure on wages.

Why not other options?

A- paid weekly wages tend to have low wages

B- less training then low wages as there is no specialist of a workers

D- less dangerous jobs then low pay

9-A:

Money's core characteristics include durability, portability, divisibility, uniformity, general acceptability and relative scarcity. These traits enable it to function as a medium of exchange, unit of account, and store of value.

Now match the right column of both that is found in option A.

10-B:

Income subtract spending = savings

At 3600 level of income, the savings is 100 only

Why not other options?

A- at 3600, there is dissavings that is -150

C- at 3900, the total savings is 75

D- at 4200, the total savings is 150

11-D:

A higher rate of interest will increase the cost of borrowing for consumers. This will discourage and reduce the cost of borrowing from the banks. As a result the investment will fall and thus AD too. A higher interest rate also encourages the consumers to save more and spend less and thus consumers borrowing will reduce.

Why not other options?

A- more deposits to commercial banks will encourage to issue more loans and thus spending can rise
B- government spending can increase the rolling of money in an economy and this also increases the spending by the consumers
C- increase in exchange rate will appreciate the currency. An appreciation will make imports less expensive and thus consumers can increase spending on such goods. So borrowing may increase

12-D:

At 0 level of output, the TC is 3 and therefore 3 is also the FC.

At 3 levels of output, the TC is 9 and therefore the VC is 6 and the FC is 3. Thus, at this level, the VC is greater than FC. That is $6 > 3$

Why not other options?

A- it is only FC

B- $5 - 3 = 2$ VC, FC is 3 so FC is greater at this point

C- $6 - 3 = 3$ VC, FC is also 3 so FC and VC is same at this output

13-A:

At 4 units, the VC is \$350, the FC is \$1000 and the TC is \$1350

$TR = Price \times Quantity$

$\$500 \times 4 = \$2,000.00$

$Profit = TR - TC$

$2000 - 1350 = 650$

14-B:

A monopoly is typically characterized by a single seller in a market, offering a unique product with no close substitutes, and facing high barriers to entry for potential competitors. This combination allows the monopolist to exert significant control over price and output.

In a monopoly, there are many buyers but only one seller. The single seller, the monopolist, controls the entire supply of a particular product or service, while consumers who want to purchase that product or service have no alternative but to buy from the monopolist.

15-B:

The division of labour occurs where the production process is broken down into many separate tasks. Division of labour can raise output per person as people become proficient through constant repetition of a task. This is called learning by doing. An increased mechanism would involve small tasks for labourers and thus more machines reduces the chances of error. Therefore, specialisation benefits the firm

Why not other options?

- A- negative impact
- C- no movement if there is specialisation
- D- specialisation leads to quality control

16-A:

The main macroeconomic aims of a government include economic growth, low unemployment, price stability (low inflation), balance of payments stability, and income redistribution.

An increase in income would increase the production in an economy that will generate higher levels of income and thus AD and As will increase. This will prevent higher inflation and economic growth also.

Why not other options?

- B- not meeting the aims of full employment and BOP stability
- C- equals distribution of income could an aim but generate higher government revenue means the progressive taxes should be higher that aim could conflict with full level of unemployment
- D- environment support is not a aim of the government

17-A:

Immigration control could only be regarded as the government role. While other roles are the private sector or companies

18-C:

An indirect tax is a tax passed off by the government on goods and services. It is collected by the manufacturers or sellers of goods and services from the consumer when they purchase an item or service and then paid to the government.

A fall in indirect taxes will increase the supply of the goods and services and thus result in increased production.

Why not other options?

- A- exports now become cheaper as indirect taxes reduces so goods now produce at lower off cost
- B- imports now become uncompetitive as domestic goods become more competitive

D- no, the BOT may improve as exported goods are cheaper and imported goods are relatively expensive

19-D:

Raising the retirement age can increase the supply of labor by extending the period individuals remain in the workforce, thus contributing to the overall labor pool.

Why not other options?

A-increasing unemployment benefits would lead less people willing to the work

B- it is the expansionary monetary policy and has no effect on the labour force

C- it is the contractionary fiscal policy and can reduce the AD

20-B:

Retired people would require more health services so government needs to increase their expenditure on such services

Why not other options?

A-defence is a public goods and it is not related to the retirement

C-no, they are aged and can't be retrained

D- streetlight is also a public goods

21-B:

We can see from the graphs that from 2001 till 2006, the unemployment rate is falling while the GDP per head rises. However, after 2006 the unemployment rate started to rise but at the same time GDP per head rose too.

22-A:

Compulsory savings will savings and thus fall in spendings and consumption expenditure in an economy

Why not other options?

B- a higher investment will increase the AD and rise in prices

C- issues of more notes and coins will increase the money supply and thus boost AD and result in rise in prices

D- reducing indirect taxes will increase the supply. A rise in supply result in fall in prices and thus increase in consumption expenditure

23-B:

The inflation rate is calculated using the Consumer Price Index (CPI), which measures the average price changes of a basket of consumer goods and services over time.

Weights represent the proportion of income spent on the goods and services. It is part of the CPI.

24-D:

Low incomes that keep incomes low could be an option D. As low incomes means more spending on the basic commodities and saving less. While low savings means fewer deposits available to the banks and thus lend less for investments. Low investment means lower productivity and thus low incomes.

Why not other options?

A- low incomes—low consumption—low prices—**higher output—higher incomes**

B- low incomes—**higher government spending**

C- low incomes—low investments—**no profits**

25-D:

Economic Development is programs, policies or activities that seek to improve the economic well-being and quality of life for a community.

Rapid population will reduce the income per head and thus increase the dependency ratio on low income households. As a result, economic development will decline.

Why not other options?

All other factors will lead to economic developments

26-A:

Greater % in service sector represents the most developed so that is in the option A

27-C:

Current Account

Visible Trade (Goods): Exports and imports of products like oil, cars, computers.

Invisible Trade (Services): Revenue from services (e.g., IT, tourism).

Income: Profits, interest, dividends from abroad.

Transfers: Remittances, gifts, donations

Purchase of a house in another country would be recorded in financial accounts as it regard as an investment in another country

28-D:

International specialization, where countries focus production on specific goods and services, is driven by several key factors, primarily comparative advantage and economies of scale. This leads to increased efficiency, lower production costs, and greater global output.

Increasing the trade barriers would likely to increase the tools of protectionism such as tariff or quotas and therefore it would like to discourage the specialisation

29-A:

A multinational corporation (MNC) is usually a large corporation incorporated in one country that produces or sells goods or services in various countries.

In low income countries, the shop would be closed as MNCs are more efficient and have lower ATC and therefore exploit EOS. As a consequence, local firms in low income countries may not be able to compete.

Why not other options?

All other options are the benefits to the low income countries

30-C:

In year 4, the imports increased but in the same year exports increased by a greater %. As a result, the balance of trade improved.

Why not other options?

A- imports rise by greater % in year 2, BOT don't improve

B- same as option A

C- imports and exports both are falling so BOT don't improve

